

IKEA's India Gambit



For regular international travellers, particularly to Europe, IKEA is, quite literally, a household name. The \$42-billion Swedish home furnishings giant has been known for its massive stores and trademark furniture style. So it was no surprise that, given India's booming aspirational economy, the opening of its first store—called the Blue Box because of its look—in Hyderabad in 2018 saw massive crowds eager to see what was on offer. Four years and five stores later, IKEA, which in a sense was testing the Indian waters so far, has decided to amp up its India play. The reasons are not far to seek. With a huge millennial population that is keen to live well, India is a lucrative market for IKEA. Besides, internationally, despite its global presence, the company is still heavily dependent on Western Europe and North America, economies that are stagnating and facing their own set of challenges. India, then, stands out in IKEA's list of growth options. As IKEA India's CEO Susanne Pulverer tells *Arnav Dutta* in our cover story, "It's a big, big country and we have just started to enter. There is so much to do."

Indeed, Pulverer and her company now have their aggressive strategy chalked out. Having pumped in close to ₹10,000 crore so far in India, IKEA is now upping the ante on expansions. And importantly, it has also tweaked its fabled strategy of setting up massive stores outside city confines and is now putting up smaller size stores closer to the customer to ensure footfalls. But as many multinationals have realised to their peril, India is not an easy market to crack. There are several home-grown players—Godrej Interio and start-up Pepperfry just two among them—which will give the Swedish giant tough competition, not to forget the countless mom-and-pop furniture shops dotting Indian cities with their loyal base of customers. IKEA will have to contend with all of this and have to wage a long-drawn battle for leadership in the Indian market.

Elsewhere in this issue, *Ashish Rukhaiyar* talks to several leading stock market experts and players to put together a story on how they see the markets playing out over the rest of the year. The broad consensus seems to be that while the worst may be behind us, it's not a rosy picture just yet for the near term. And the reasons are many: inflation, monetary tightening, recessionary trends in the US and Europe, supply chain disruptions—the list is long. The latest findings of the quarterly *Business Today* Business Confidence Index mirror most of these concerns. After hitting a seven-year high at 55.2 last quarter (on a scale of 100), the BCI fell to 51.2 for the April-June quarter of 2022 as macro concerns weighed heavy on business leaders. But despite the concerns, there's a lot of hope. As India turns 75, we also bring you a stellar line-up of the country's top business leaders who tell us their vision for India for the next 25 years. As their views show, there's much to aim for, and celebrate. **BT**

Sourav Majumdar

sourav.majumdar@aajtak.com
@TheSouravM

Business Today

<http://www.businesstoday.in>

Chairman & Editor-in-Chief: Aroon Purie
Vice Chairperson: Kalli Purie
Group Chief Executive Officer: Dinesh Bhatia
Executive Director: Rahul Kanwal
Chief Revenue Officer: Alok Nair

Editor: Sourav Majumdar
Group Creative Editor: Nilanjan Das
Group Photo Editor: Bandeep Singh
Global Business Editor: Udayan Mukherjee
Managing Editor, Business Today TV: Siddharth Zarabi
Editor, Businesstoday.in: Anirban Roy

Managing Editors: Alokesh Bhattacharyya, Anand Adhikari
Executive Editor: Krishna Gopalan

CORRESPONDENTS

Senior Editors: Neetu Chandra Sharma, Nidhi Singal, Smita Tripathi, Teena Jain Kaushal
Senior Associate Editor: Ashish Rukhaiyar
Senior Assistant Editor: Binu Paul
Assistant Editors: Arnab Dutta, Manish Pant
Special Correspondents: Purna Lidhoo, Vidya S.
Correspondent: Rajat Mishra

PRESENTER AND SENIOR EDITOR, BUSINESS TODAY TV:
Aabha Bakaya

RESEARCH

Assistant Editor: Rahul Oberoi
Principal Research Analyst: Prince Tyagi

COPY DESK

Senior Associate Editor: Abhik Sen
Senior Assistant Editor: Shishir Kumar Behera
Senior Sub Editor: Pranay Prakash

PHOTOGRAPHY

Principal Photographer: Rajwant Singh Rawat
Photographer: Hardik Chhabra
Senior Photo Researcher: Varun Gupta

ART

Deputy Creative Editor: Anirban Ghosh
Deputy Art Director: Rahul Sharma
Associate Art Director: Raj Verma
Chief Designer: Prabal Biswas

EVENTS

Senior Manager: Sourabh Dutta

PRODUCTION

Chief of Production: Harish Aggarwal
Senior Production Coordinator: Narendra Singh
Production Coordinator: Ayeckpam David Meitei

LIBRARY

Assistant Librarian: Satbir Singh

Editorial Coordinator: Khushboo Thakur

BUSINESS TEAM (MAGAZINE)

National Head: Siddhartha Chatterjee
Assistant General Managers: Ankush Madan, Girish C, Priya Gaur (Govt Sales)

BUSINESS TEAM (BT TV)

Senior General Managers: Masuma Parekh, Nisha Sharma

SALES STRATEGY

General Manager: Sanjay Bhoir

AD OPS

Deputy General Manager: Avinash Karkera

Marketing: Vivek Malhotra, Group Chief Marketing Officer

Newsstand Sales: Deepak Bhatt, Senior General Manager

(National Sales); Vipin Bagga, General Manager (Operations); Rajeev Gandhi, Deputy General Manager (North), Yogesh Godhanlal Gautam, Deputy Regional Sales Manager (West), S. Paramasivam, Deputy Regional Sales Manager (South), Piyush Ranjan Das, Senior Sales Manager (East)

Vol. 31, No. 17, for the fortnight August 8, 2022 to August 21, 2022.
Released on August 8, 2022.

● Editorial Office: India Today Mediaplex, FC 8, Sector 16/A, Film City, Noida-201301; Tel: 0120-4807100; Fax: 0120-4807150 ● Advertising Office (Gurgaon): A1-A2, Enkay Centre, Ground Floor, V.N. Commercial Complex, Udyog Vihar, Phase 5, Gurgaon-122001; Tel: 0124-4948400; Fax: 0124-4030919; Mumbai: 1201, 12th Floor, Tower 2 A, One Indiabulls Centre (Jupiter Mills), S.B. Marg, Lower Panel (West), Mumbai-400013; Tel: 022-66063355; Fax: 022-66063326; Chennai: 5th Floor, Main Building No. 443, Guna Complex, Anna Salai, Teynampet, Chennai-600018; Tel: 044-28478525; Fax: 044-24361942; Bangalore: 202-204 Richmond Towers, 2nd Floor, 12, Richmond Road, Bangalore-560025; Tel: 080-22212448, 080-30374106; Fax: 080-22218335; Kolkata: 52, J.L. Road, 4th floor, Kolkata-700071; Tel: 033-22825398, 033-22827726, 033-22821922; Fax: 033-22827254; Hyderabad: 6-835/7/B, Raj Bhawan Road, Somajiguda, Hyderabad-500082; Tel: 040-23401657, 040-23400479; Ahmedabad: 2nd Floor, 2C, Surya Rath Building, Behind White House, Panchwati, Off: C.G. Road, Ahmedabad-380006; Tel: 079-65603393, 079-65603929; Fax: 079-6565293; Kochi: Karakkatt Road, Kochi-682016; Tel: 0484-2377057, 0484-2377058; Fax: 0484-370962

● Subscriptions: For assistance contact Customer Care, India Today Group, C-9, Sector 10, Noida (U.P.) - 201301; Tel: 0120-2479900 from Delhi & Faridabad; Tel: 011-2479900 (Monday-Friday, 10 am-6 pm) from Rest of India; Toll free no: 1800 1800 100 (from BSNL/MTNL lines); Fax: 0120-4078080; E-mail: webcare@intoday.com

● Sales: General Manager Sales, Living Media India Ltd., C-9, Sector 10, Noida (U.P.) - 201301; Tel: 0120-4019500; Fax: 0120-4019564 ● 1998 Living Media India Ltd.

All rights reserved throughout the world. Reproduction in any manner is prohibited.

● Printed & published by Manoj Sharma on behalf of Living Media India Limited.
● Printed at Thomson Press India Limited, 18-35, Milestone, Delhi-Mathura Road, Faridabad-121007, (Haryana). Published at F-26, First Floor, Connaught Place, New Delhi-110001.

Editor: Sourav Majumdar

● Business Today does not take responsibility for returning unsolicited publication material. All disputes are subject to the exclusive jurisdiction of competent courts and forums in Delhi/ New Delhi only.



For reprint rights and syndication enquiries, contact
syndications@intoday.com or call +91-120-4078000

www.syndicationtoday.in